Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com (BM) DEGREE EXAMINATION – APRIL 2021

18BM602 – MANAGEMENT ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. List out function of management accounting.
2. What is common size statement?
3. What is Ratio Analysis?
4. Formula for P/E Ratio.
5. Define "Cash flow".
6. What is cash from operation?
7. What is ZBB?
8. What is Budget?
9. What Capital Budgeting?
10. What is Pay-Back period?

SECTION - B (5 X 5 = 25)

Answer any FIVE Questions

11. What are the scope of Management Accounting?
12. Prepare a comparative income statement of Vasanth Ltd, for the year ending 31st march 2016 and 2017 from the following

	2016 31st March Rs	2017 31st March Rs
Purchase less return	1,00,000	1,50,000
Other direct expenses	30,000	50,000
Sales	2,00,000	3,00,000
Office expenses	25,000	40,000
Selling expenses	20,000	20,000
Finance expenses	10,000	15,000
Profit	15,000	25,000

13. From the following information, find out Working Capital Turnover Ratio :

	Rs.
Cash	20,000
Bills receivable	5,000
Sundry Debtors	30,000
Stock	40,000
Sundry Creditors	50,000
Cost of Sales	3,00,000

14. From the following balances you are required to Cash From Operation.

	31.12.2015	**31.12.2016**
	Rs	**Rs**
Debtors	60,000	50,000
Bills receivable	20,000	30,000
Creditors	15,000	20,000
Bills payable	10,000	5,000
Outstanding expenses	1,000	1,500
Prepaid expenses	2,000	1,000
Accrued income	1,000	1,500
Income received in advance	500	1,000
Profit during the year		2,00,000

15. You are required tom prepare a Production Budget for the year 2015.

Product	Budgeted sales quantity	Actual stock on 01.01.2015	Desired stock on 31.12.2015
	Units	Units	Units
S	40,000	8,000	10,000
T	1,00,000	12,000	20,000

16. A project cost Rs.1,00,000 and has scrap value of Rs.20,000. Its stream of income before depreciation and tax during the five years is Rs.20,000, Rs.24,000, Rs.32,000, Rs.28,000 and Rs.40,000. Assume a 50% tax rate and depreciation on straight line basis. Calculate ARR.

17. Calculate Stock turnover ratio from the following information:

Sales	Rs.10,00,000
Gross profit ratio	20%
Stock at the beginning	Rs. 1,75,000
Stock at the end	Rs .1,45,000

SECTION – C (3 X 10 = 30)

Answer Any THREE questions

18. Explain Advantages and Limitation of Management Accounting.

19. Following is the Balance sheet of Ganesh Ltd as on 31.12.2016

Liabilities	Rs	Assets	Rs
Equity share capital	1,00,000	Fixed asset	2,60,000
7% preference share capital	20,000	Stock	60,000
Reserves and surplus	80,000	Debtors	40,000
6% Mortgage loan	1,40,000	Trade investment	30,000
Creditors	12,000	cash	10,000
Bills payable	20,000		
Outstanding expenses	2,000		
Provision for tax	26,000		
	4,00,000		4,00,000

Additional information:

Net Sales	Rs.	6,00,000
Cost of goods sold	Rs.	5,16,000
Net income before tax	Rs.	40,000
Net income after tax	Rs.	20,000

Calculate Solvency Ratio

20. The comparative Balance sheet of Mr.Prabhu for the two years as follows:

Liablities	2008 Rs	2009 Rs	Assets	2008 Rs	2009 Rs
Capital	3,00,000	3,50,000	Land	2,20,000	3,00,000
Loan from bank	3,20,000	2,00,000	Machinery	4,00,000	2,80,000
Creditors	1,80,000	2,00,000	Stock	1,00,000	90,000
Bills Payable	1,00,000	80,000	Debtors	1,40,000	1,60,000
Loan From TIIC		50,000	Cash	40,000	50,000
	9,00,000	8,80,000		9,00,000	8,80,000

Additional Information:

Net Profit for the year 2009 amounted to Rs.1,20,000. During the year a machine costing Rs.50,000 (accumulate depreciation Rs.20,000) was sold for Rs.26,000. The provision for depreciation against machinery as on 31.12.2008 was Rs.1,00,000 and on 31.12.2009 Rs.1,70,000. You are require to prepare Cash Flow Statement.

21. A firm expects to have Rs.50,000 in bank on 1st May 2017 and require you to prepare an estimate of cash position during the 3 months. May-July 2017. The following information is made available.

Month	Sales Rs	Purchase Rs	Wages Rs	Factory expenses Rs	office expenses Rs	Selling expenses Rs
March	60,000	35,000	8,000	6,000	4,000	4,000
April	70,000	40,000	7,000	8,000	4,000	5,000
May	80,000	40,000	9,000	7,000	5,000	4,000
June	90,000	45,000	5,000	3,000	4,000	3,000
July	90,000	40,000	10,000	7,000	4,000	5,000

Other information:

a) 20 per cent of sales is for cash; remaining amount is collected in the month following that of sale.
b) Suppliers supply goods at 2 months credit
c) All expenses are paid in the month following the one in which they are incurred
d) Income tax Rs.30,000 is payable in July
e) The company pay the dividend Rs.10,000 in the month of May.

22. Kavitha & Co is considering 2 mutually exclusive projects. Both require an initial cash of Rs.20,000 each and a life of 5 years. The company required rate of return is 10% and pays tax 50% rate. The project will be depreciated on a SLM. The income before Depreciation and taxes expected to be generated by the projects are as follows.

	Year				
	1	2	3	4	5
Project 1 Rs	8,000	8,000	8,000	8,000	8,000
Project 2 Rs	12,000	6,000	4,000	10,000	10,000
P/V factor	0.909	0.826	0.751	0.683	0.621

Calculate Net present Value of each Project.

****